

# Interview Feedback

Brew & Bean Profitability · 2026-07-19 · Overall: strong

## Top improvement

Nail unit discipline on nested percentages the first time — a share of COGS is not points of revenue — and quantify the unexplained residual (the ~8 points of COGS not explained by beans) before committing to pricing levers, so recommendations rest on isolated drivers rather than assumed figures.

## Rubric Scores

### Problem Structuring

strong

#### What went well

Opened with a clear hypothesis that this is a cost problem given revenue growth, then laid out three tailored, largely non-overlapping buckets.

“Since revenue is growing, this is fundamentally a cost problem, or a major shift in product mix toward lower-margin items.”  
“I’d break my approach into three main areas: Cost Structure Breakdown... Revenue and Product Mix... Operational Metrics”  
Committed to a prioritization with a defensible rationale tied to the magnitude of the margin collapse.

“I would prioritize the Cost Structure Breakdown first, specifically looking at labor and COGS.”  
“A shift in product mix... rarely causes a collapse of this scale on its own while revenue is growing.”

#### What needs work

Buckets were coffee-industry-tailored but sub-points overlapped slightly (product mix appeared in both the revenue bucket and the COGS drill-down).

“Volume/Waste: We are wasting significantly more product, or our product mix has shifted dramatically toward items with incredibly high ingredient costs.”

#### Missed opportunities

In the opening framework the candidate never explicitly restated the objective (identify root cause AND recommend a fix) before diving into buckets.

A great answer: “Before I structure this, let me confirm the objective: the CEO wants us to (1) diagnose the root cause of the 18-point margin drop and (2) recommend how to restore margin. I’ll structure my diagnosis around that, then move to levers.”

### Quantitative & Analytical Rigor

adequate

#### What went well

When probed on units, the candidate corrected the loose bean-contribution math rigorously and arrived at a defensible decomposition.

“If raw beans made up half of that total COGS, then bean costs alone represented 21% of revenue (half of 42).”  
“a 40% jump in bean prices would add 8.4 percentage points to our total COGS-to-revenue ratio”

Proactively proposed a sanity check to test whether bean inflation could fully explain the COGS jump rather than asserting it did.

“I want to do a quick sanity check. Coffee beans are only one part of COGS—we also have milk, food items, cups, and packaging.”

#### What needs work

First articulation of the bean math mixed units — stating a 40% rise on half of COGS gives ‘20%’ without specifying 20% of what, the exact error the interviewer caught.

“if coffee beans make up 50% of our total ingredient costs, a 40% increase in bean prices would raise our overall COGS by 20%, which aligns perfectly with the 16-point surge”

Per-store math was imprecise — \$480M revenue was never revealed and the candidate’s back-of-envelope figures were approximate; the deterministic check flagged a per-store slip (said 2, correct 2.4) and an under-sized margin-impact figure.

“if revenue stayed around \$100M, profit dropped from \$24M to \$6M”

#### Missed opportunities

After correcting the bean math to show beans explain ~half the 16-point jump, the candidate could have sized the remaining unexplained gap to guide the next diagnostic step.

A great answer: "So beans account for roughly 8 of the 16 points; that leaves ~8 points of COGS margin still unexplained. Before committing to levers I'd want to isolate that remaining half — likely dairy, food, or waste — since it's as large as the bean effect."

## Data & Exhibit Interpretation

strong

### What went well

Read the exhibit systematically, isolated COGS as the sole driver, and correctly noted labor was flat and overhead barely moved.

*"Labor has held perfectly steady at 22%, and Overhead only ticked up slightly by 2%"*

*"COGS skyrocketed from 42% to 58% of revenue."*

When challenged to confirm he was reading the page not memory, he cited the specific row values and tied COGS movement to the profit column.

*"2 years ago: 42 Last year: 50 Current: 58"*

*"Comparing that directly to the Profit column right next to it, which drops from 24 to 15 to 6"*

### What needs work

Initially claimed the 16-point COGS jump 'exactly mirrors' the 18-point profit drop before reconciling the 2-point overhead gap, a slightly loose framing corrected only mid-sentence.

*"That 16-point jump exactly mirrors the 18-point drop in profit margin (with Overhead taking the other 2%)."*

### Missed opportunities

After isolating COGS, the candidate proposed a good next step but could have named the single most valuable follow-up crisply.

A great answer: "COGS is the entire story here — labor and overhead are essentially flat, so I'd deprioritize them. The next question is purely what's inside COGS: I'd want the input-cost breakdown, starting with coffee beans as the largest line."

## Business Judgment & Insight

strong

### What went well

Recommended targeted price increases on inelastic core items rather than blanket cuts, and paired them with supply-chain levers — commercially sound and aligned with a lean cost base.

*"targeted price increases, specifically on high-volume coffee drinks where demand is relatively inelastic"*

*"hedging strategies for raw coffee beans to lock in lower prices"*

Surfaced the key risk of pricing (churn to competitors) unprompted and proposed a concrete pilot to de-risk it.

*"The biggest risk is customer churn. If we raise prices too much, or too fast, customers will leave us for local cafes or competitors like Starbucks"*

### What needs work

Anchored heavily on pricing as the fastest lever before isolating the still-unexplained half of the COGS gap, a slight sequencing-of-judgment gap.

*"I'd look at a menu price adjustment first since it yields immediate margin relief."*

### Missed opportunities

When benchmarking competitors, the candidate could have added that peers likely face the same bean inflation, which affects pricing power industry-wide.

A great answer: "If bean costs rose 40% industry-wide, competitors are under the same pressure, which actually gives us cover to raise prices — I'd check whether peers have already moved before assuming we lose share."

## Creativity & Brainstorming

adequate

### What went well

Organized the brainstorm into three clear buckets and spanned pricing, supply chain, and operational levers.

*"I would bucket the strategies into three categories: Pricing Actions... Supply Chain Optimization... Product and Store Efficiency"*

### What needs work

Ideas were sound but largely conventional; no genuinely non-obvious lever (e.g., a lower-cost commodity blend for budget locations, loyalty-driven mix shift, or menu re-engineering) emerged.

*"renegotiate supplier contracts, seek alternative vendors for non-coffee inputs (like dairy or packaging), or look into hedging strategies"*

### Missed opportunities

During the lever brainstorm the candidate could have introduced a product-tier innovation to protect price-sensitive segments.

A great answer: "One non-obvious lever: pilot a lower-cost 'commodity blend' in budget-conscious locations to protect volume while we take price on specialty SKUs elsewhere — segmenting the response rather than a uniform price hike."

## Synthesis & Recommendation

strong

### What went well

Led answer-first with the diagnosis and a two-phase recommendation, gave supporting evidence, named the risk, and closed with next steps.

*"Brew & Bean must take immediate action to reverse an 18-point net profit margin collapse... driven entirely by a surge in COGS from 42% to 58%"*

*"Immediate Margin Relief (Short Term): Implement a targeted 5% to 10% price increase on highly inelastic, core beverage items."*

Honestly flagged the unexplained half of the COGS gap in the synthesis rather than overclaiming that beans solved the case.

*"the remainder stems from other unmitigated supply chain pressures or operational waste."*

### What needs work

Presented the 5–10% price increase and 10–15 store pilot as recommendation specifics without flagging them as candidate-assumed hypotheses rather than data-backed figures.

*"Implement a targeted 5% to 10% price increase on highly inelastic, core beverage items."*

*"pressure-test this via a 4-to-6-week localized pilot across 10–15 representative stores"*

### Missed opportunities

In the CEO bottom-line, the candidate could have sequenced isolating the remaining COGS driver ahead of committing to price magnitude.

A great answer: "My priority next step is to isolate the other ~8 points of COGS inflation before we finalize pricing magnitude — I'd want the input-cost breakdown in parallel with a small pricing pilot, so we don't over-rely on price to fix a cost we haven't fully diagnosed."

## Communication & Delivery

strong

### What went well

Consistently top-down and signposted, leading with the headline before detail and using hypothesis language throughout.

*"Looking at this exhibit, our hypothesis was spot on: COGS is the clear culprit."*

*"To reverse this margin decline, we need to address both the raw input problem and look for revenue-side levers."*

Handled the interviewer's 'let's stay on the case' redirect crisply, offering clean options rather than rambling.

*"Where would you like to dive in next—should we look at the results of a potential pricing pilot, explore the remaining half of the COGS inflation, or pivot to the operational waste side?"*

### What needs work

The 'raise our overall COGS by 20%' phrasing was ambiguous enough to force an interviewer clarification, a lapse in precision under the discipline of top-down clarity.

*"a 40% increase in bean prices would raise our overall COGS by 20%, which aligns perfectly with the 16-point surge"*

## Pushback, Composure & Case Leadership

strong

### What went well

When challenged on whether he was truly reading the exhibit, he held his position with specific row-level evidence rather than backpedaling.

*"I am reading across all three rows under the COGS column: 2 years ago: 42 Last year: 50 Current: 58"*

On the 'twenty percent of what' probe, he acknowledged the sloppiness specifically and then rebuilt the math cleanly — coachable without being defensive.

*"That was a bit sloppy with the phrasing on my part—let me clarify the math and the units."*

*"a 40% jump in bean prices would add 8.4 percentage points to our total COGS-to-revenue ratio"*

## Model Answer

### Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

**Recommendation**

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

## Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 0:16

That's a striking dynamic—revenues are up 15%, but profit margins have tanked from 24% to 6%. Since revenue is growing, this is fundamentally a cost problem, or a major shift in product mix toward lower-margin items. To crack this, I'd break my approach into three main areas: Cost Structure Breakdown: I want to look at both fixed and variable costs. Since we expanded or grew revenue, did we see a massive spike in COGS (like coffee bean inflation or milk prices)? Or did fixed overhead explode—like aggressive new lease agreements for those 200 locations or major wage increases for store staff? Revenue and Product Mix: Revenue grew 15%, but how? Did we sell more low-margin food items and fewer high-margin espresso drinks? Or did we run heavy promotional discounts that drove foot traffic but killed the margin? Operational Metrics: I'd look at store-level efficiency. Has wastage gone up? Are newer stores underperforming drastically compared to historical baselines, dragging down the average? Before diving deeper, do we have any data on whether this margin compression is happening equally across all 200 stores, or if it's driven by specific cost categories like COGS vs. labor?

Interviewer · 0:19

Understood. Your framework has cost structure, revenue mix, and operations.

Which of those branches would you prioritize first, and why?

Candidate · 0:31

I would prioritize the Cost Structure Breakdown first, specifically looking at labor and COGS. Here is why: a 24% to 6% drop in net profit margin is massive. To put numbers to it, if revenue stayed around \$100M, profit dropped from \$24M to \$6M. A shift in product mix—like selling more croissants than lattes—can hurt margins, but it rarely causes a collapse of this scale on its own while revenue is growing. This level of bleeding almost always points to an absolute explosion in operating costs. I'd want to immediately check if store labor costs or raw ingredient prices ballooned over the last two years. Does our data show a spike in one of those specific cost buckets?

Interviewer · 0:35

I have the cost structure over time. Here's the exhibit:

Candidate · 0:55

Looking at this exhibit, our hypothesis was spot on: COGS is the clear culprit. Assuming these rows sum to 100% of revenue, Labor has held perfectly steady at 22%, and Overhead only ticked up slightly by 2% over the last two years. Meanwhile, COGS skyrocketed from 42% to 58% of revenue. That 16-point jump exactly mirrors the 18-point drop in profit margin (with Overhead taking the other 2%). Because COGS represents such a massive, escalating chunk of our sales, I want to drill down here. This could be driven by two things: Price/Input inflation: The cost of coffee beans, milk, or packaging has surged, and we haven't raised our menu prices to compensate. Volume/Waste: We are wasting significantly more product, or our product mix has shifted dramatically toward items with incredibly high ingredient costs. Do we have insight into whether this COGS increase is due to rising supplier prices, or is it an internal operational issue like food waste?

Interviewer · 0:57

Wait — you referenced the exhibit. Which row on it did you actually read to conclude that?

I want to confirm you're reading COGS off the page, not from memory.

Candidate · 1:11

I am reading across all three rows under the COGS column: 2 years ago: 42 Last year: 50 Current: 58 Comparing that directly to the Profit column right next to it, which drops from 24 to 15 to 6, shows us that the 16-point increase in COGS is the primary driver behind the 18-point drop in profit. Where should we look next to see what's driving that COGS spike?

Interviewer · 1:13

You've isolated COGS as the driver. You raised bean inflation versus waste.

You suspect input prices — what data would you pull to test that?

Candidate · 1:25

To test if input prices are driving this, I'd want to look at two main sets of data: Supplier Contracts and Unit Costs: I'd pull the historical invoice data for our top three highest-volume commodities—coffee beans, milk/dairy, and bakery ingredients. Specifically, I want to see if the price per pound or price per gallon from our suppliers has increased over the last two years. Menu Pricing vs. Commodity Index: I'd check if Brew & Bean has adjusted its menu prices over these two years. If supplier costs went up, but our average ticket price stayed flat, our margins would compress exactly like this. If the unit costs from suppliers look completely flat, then we'd know the issue isn't inflation—it's an internal operational issue like major kitchen waste or theft. Do we have any data on recent supplier price changes or our menu pricing strategy?

Interviewer · 1:27

I have data on coffee bean price changes over the period. Here it is:

Candidate · 1:40

I'm ready to look at it! What do the coffee bean price trends or contract data look like?

Interviewer · 1:43

My apologies — here's the bean price change over the two years: Raw coffee bean costs are up 40% over the past two years.

Candidate · 1:56

A 40% jump in raw coffee bean costs is a massive spike, and since coffee is our core product, it definitely explains a big portion of that COGS explosion from 42% to 58%. However, I want to do a quick sanity check. Coffee beans are only one part of COGS—we also have milk, food items, cups, and packaging. I'd like to understand how much coffee beans actually contribute to our total COGS. For instance, if coffee beans make up 50% of our total ingredient costs, a 40% increase in bean prices would raise our overall COGS by 20%, which aligns perfectly with the 16-point surge we are seeing on the chart. To confirm this is the main root cause, do we know what percentage of our total COGS is made up of raw coffee beans? And crucially, has Brew & Bean raised menu prices at all over the last two years to pass some of this cost onto the consumer?

Interviewer · 1:58

Hold on — you said beans at half of COGS times a 40% rise gives 20% overall. Twenty percent of what, exactly?

Walk me through those units against the revealed COGS numbers.

Candidate · 2:11

That was a bit sloppy with the phrasing on my part—let me clarify the math and the units. The 20% would be the growth rate of total COGS itself, not percentage points of revenue. Let's look at the actual numbers from the exhibit to tie it together: Two years ago, COGS was 42% of revenue. If raw beans made up half of that total COGS, then bean costs alone represented 21% of revenue (half of 42). If those bean costs then spike by 40%, we calculate the increase:  $21\% \times 0.40 = 8.4\%$ . So, a 40% jump in bean prices would add 8.4 percentage points to our total COGS-to-revenue ratio, moving it from 42% to 50.4%. Since our actual COGS jumped by 16 percentage points (from 42 to 58), this tells us that while the 40% bean inflation is a massive driver, it only accounts for about half of the total problem. The rest must be coming from other rising inputs—like dairy or food—or increased operational waste. Does that alignment of the units make sense?

Interviewer · 2:14

That holds. Beans explain roughly half the jump; the rest is elsewhere.

Now step back — beyond diagnosing costs, what levers could Brew and Bean pull to reverse this margin decline?

Candidate · 2:28

To reverse this margin decline, we need to address both the raw input problem and look for revenue-side levers. I would bucket the strategies into three categories: Pricing Actions: The fastest lever is to pass some of these inflated costs to the consumer. We can implement targeted price increases, specifically on high-volume coffee drinks where demand is relatively inelastic, to recover that lost margin. Supply Chain Optimization: Since commodity prices are hurting us, we should renegotiate supplier contracts, seek alternative vendors for non-coffee inputs (like dairy or packaging), or look into hedging strategies for raw coffee beans to lock in lower prices. Product and Store Efficiency: We can optimize our menu mix by aggressively promoting ultra-high-margin items. Operationally, we must institute stricter inventory controls and barista training to minimize milk and coffee waste at the store level. If we were to prioritize, I'd look at a menu price adjustment first since it yields immediate margin relief. Where would you like to explore next?

Interviewer · 2:30

You led with pricing. What's the risk of leaning on price increases, and how would you pressure-test it before rolling out?

Candidate · 2:44

The biggest risk is customer churn. If we raise prices too much, or too fast, customers will leave us for local cafes or competitors like Starbucks, completely wiping out our 15% revenue growth. To pressure-test a price increase before a national rollout, I would take a two-pronged approach: Price Elasticity Testing: I'd select a small, statistically representative sample of our 200 stores—say, 10 to 15 locations—to act as a test pilot. We can raise prices on specific menu items by 5% to 10% in those stores and closely track the

change in transaction volume over a 4-to-6-week period to calculate our exact demand elasticity. Competitor Benchmarking: I would audit competitor pricing in our key markets. If we are currently priced significantly below competitors, we have a "buffer" to raise prices without triggering mass churn. If we are already at par or higher, the risk of a price hike skyrockets. By running this localized pilot, we can protect the broader brand while figuring out exactly how much price friction our customers are willing to tolerate.

Interviewer · 2:44

Let's stay on the case.

Candidate · 2:56

I'm ready. Where would you like to dive in next—should we look at the results of a potential pricing pilot, explore the remaining half of the COGS inflation, or pivot to the operational waste side?

Interviewer · 2:58

The CEO walks into the room and asks for your bottom line.

What's your recommendation?

Candidate · 3:09

Recommendation: Brew & Bean must take immediate action to reverse an 18-point net profit margin collapse (from 24% to 6%) driven entirely by a surge in COGS from 42% to 58% of revenue. While a 40% spike in raw coffee bean costs explains roughly half of this margin compression, the remainder stems from other unmitigated supply chain pressures or operational waste. To reverse this decline, we recommend a two-phase strategy: Immediate Margin Relief (Short Term): Implement a targeted 5% to 10% price increase on highly inelastic, core beverage items. We should pressure-test this via a 4-to-6-week localized pilot across 10–15 representative stores to ensure we protect our 15% revenue growth from customer churn. Operational & Supply Chain Cost Control (Medium Term): Audit non-coffee inputs (like dairy and food) to isolate the remaining COGS leak, renegotiate supplier contracts, and implement tighter store-level inventory controls to eliminate waste. Next Steps: With your approval, we can immediately select the pilot stores and design the pricing framework to begin the test next week.

Interviewer · 3:17

That's a clear recommendation. Let's close there — thank you for walking me through it.

Here's your feedback. Structure: your framework was logical and you committed to a prioritization with a defensible rationale.

Analysis: you read the exhibit cleanly and isolated COGS. Your bean-contribution math was initially loose on units, but when I probed you corrected it rigorously — beans explain roughly half the jump, the rest unexplained. That intellectual honesty was a strong signal.

Areas to sharpen. You anchored heavily on price increases before quantifying the second half of the COGS gap — a stronger close would isolate that driver before committing to levers. Watch the unit slips under pressure; the "20% of what" moment is exactly where cases are lost. And your recommendation leaned on candidate-assumed figures — the 5-to-10% and the pilot size — flag those as hypotheses, not facts.

Overall a solid, hypothesis-driven performance. Thank you for your time.